(GIC) was formed in 1972. The GIC started operation on January 1, 1973 with its four holding companies*:*

1. National Insurance Company Ltd.
2. New India Assurance Company Ltd.
3. Oriental Fire and Insurance Comany Ltd.
4. United India Insurance Company Ltd.

In the era of economic reforms, two major changes took place in this area—

(i) In November 2000 the GIC was notified as the Indian Reinsurer[1]

(ii) In March 2002 the GIC was withdrawn from holding company status of the four public sector general insurance companies. Now these four companies are directly owned by the Government of India[2].

The market shares of the public and private insurers are 57.80 and 42.20 per cent in 2011-12 as against 59.07 and 40.93 in the previous year (Economic Survey 2010).

INSURANCE REFORMS

Under the process of economic reforms an Insurance Reforms Committee (IRC) was set up in April 1993 under the chairmanship of the ex-RBI Governor R N Malhotra. The committee handed over its report (January 1994) with the following major suggestions:[3]

(i) Decontrolling insurance sector i.e. allowing Indian as well as foreign private sector insurance companies to enter the sector (the Government did it in 1999 passing the *IRDA Act*).

(ii) Restructuring the LIC and the GIC and cutting down the government's holding in them to 50 per cent (no follow up still but the private insurance companies demanding it anxiously. The NDA government had taken steps in this area but the UPA government has no such plans.) Late 2012, the government started sale of the LIC shares but to public sector undertakings - seen as a welcome move.

(iii) Delinking GIC and its four subsidiaries (which was done in 2000).